

Please write clearly in block capitals.

Centre number Candidate number

Surname _____

Forename(s) _____

Candidate signature _____

A-level

ECONOMICS

Paper 1 Markets and market failure

Predicted Paper **Time allowed: 2 hours**

Materials

For this paper you must have:

- an AQA 12-page answer book
- a calculator.

Instructions

- Use black ink or black ball-point pen. Pencil should only be used for drawing.
- Write the information required on the front of your answer book. The Paper Reference is 7136/1.
- In Section A, answer **EITHER** Context 1 **OR** Context 2.
- In Section B, answer **ONE** essay.

Information

- The marks for questions are shown in brackets.
- The maximum mark for this paper is 80.
- There are 40 marks for Section A and 40 marks for Section B.
- You will be marked on your ability to:
 - use good English
 - organise information clearly
 - use specialist vocabulary where appropriate.

Advice

- You are advised to spend 1 hour on Section A and 1 hour on Section B.

Predicted Paper — For revision purposes only [Set A — Moderate]

Section A

Answer EITHER Context 1 OR Context 2.

EITHER

Context 1

Total for this context: 40 marks

The UK Soft Drinks Industry Levy

Study **Extracts A, B and C** and then answer **all** parts of Context 1 which follow.

Extract A: The UK soft drinks market

Figure 1: UK soft drinks market shares by revenue, 2023

Firm	Market share (%)
Coca-Cola Europacific Partners	29.4
Britvic	16.2
A.G. Barr	8.7
Suntory (Ribena/Lucozade)	7.1
Nichols plc	5.5
Other	33.1

Figure 2: UK sugar consumption from soft drinks and SDIL revenue, 2018–2023

Year	Sugar from drinks (g/person/day)	SDIL revenue (£m)	Reformulated drinks (% of sales by volume)
2018	27.4	240	22
2020	21.1	336	39
2022	18.6	380	52
2023	17.9	398	55

Source: Office for National Statistics / HMRC, 2024

Extract B: The introduction of the Soft Drinks Industry Levy

The UK Soft Drinks Industry Levy (SDIL), introduced in April 2018, charges producers a two-tier levy: 18p per litre on drinks containing 5–8g of sugar per 100ml, and 24p per litre above 8g. Public Health England estimates that excess sugar consumption contributes to obesity, type-2 diabetes and dental decay, costing the NHS approximately £6 billion per year. The government hopes the levy will correct market failure by reducing a significant external cost. In 2024, the government announced it was considering extending the levy to milkshakes and other previously exempt high-sugar drinks.

Critics argue that the SDIL is regressive, disproportionately affecting lower-income households who spend a larger share of their income on sugary drinks. Industry groups warned it would reduce sales and lead to job losses. Supporters note that the tax has driven rapid reformulation: most major producers reduced sugar content below the lower threshold, so that reformulated drinks now account for the majority of sales by volume. The Institute for Fiscal Studies described the SDIL as "one of the most successful examples of behavioural government intervention in recent UK history".

Source: News reports, April 2024

Extract C: Alternatives to taxation

Behavioural economists argue that taxation is only one tool among many for reducing consumption of demerit goods. The World Health Organisation's 2023 review concluded that taxation is most effective when combined with complementary interventions such as mandatory front-of-pack labelling, advertising restrictions (particularly those aimed at children), and reformulation targets. A 2023 study of the UK sugar tax by the LSE estimated that over half of the observed reduction in sugar intake was attributable to reformulation rather than reduced consumption. Some researchers argue that "nudge" approaches — including default options in retail settings and social-norm messaging — can achieve behavioural change at lower cost and with less regressive impact than taxation.

Yet critics of non-tax approaches point out that information-based nudges often fail to reach the groups most at risk, and that voluntary reformulation has historically been slow without the credible threat of regulation. The debate mirrors a wider question in welfare economics: whether government intervention through price signals is fundamentally more effective than intervention through information or regulation in correcting failures of rational consumer behaviour.

Source: News reports, May 2024

0 1 Using the data in Extract A (Figure 1), calculate the three-firm concentration ratio in the UK soft drinks market. Give your answer, as a percentage, to one decimal place. **[2 marks]**

0 2 Explain how the data in Extract A (Figure 2) show that the UK Soft Drinks Industry Levy has been effective in changing producer behaviour. **[4 marks]**

0 3 Extract B (lines 4–6) states that 'The government hopes the levy will correct market failure by reducing a significant external cost.'
[9 marks]

With the help of an externalities diagram, explain how a tax on sugary drinks can correct market failure arising from negative externalities of consumption.

0 4 Extract C (lines 3–5) states that 'taxation is most effective when combined with complementary interventions such as mandatory front-of-pack labelling, advertising restrictions... and reformulation targets.'
[25 marks]

Use the extracts and your knowledge of economics to assess whether indirect taxation is the most effective way for governments to reduce consumption of demerit goods such as sugary drinks.

Do NOT answer Context 2 if you have answered Context 1.

OR

Context 2

Total for this context: 40 marks

The UK fast food market and obesity

Study Extracts D, E and F and then answer **all** parts of Context 2 which follow.

Extract D: The UK fast food market

Figure 3: UK quick-service restaurant chains — outlets, 2024

Chain	UK outlets	Revenue (£bn)
McDonald's	1,450	2.75
Greggs	2,452	1.81
Subway	2,125	0.72
KFC	1,009	1.48
Burger King	537	0.53
Other	~14,900	6.21

Figure 4: UK adult obesity and takeaway spending, 2013–2023

Year	Adult obesity rate (%)	Avg. weekly spend on takeaways (£)	Fast food outlets per 100,000 population
2013	24.9	4.80	78
2018	27.8	6.10	89
2023	28.4	8.70	102

Source: NHS Digital / ONS, 2024

Extract E: The causes of rising obesity

UK adult obesity has risen steadily for two decades. The NHS estimates the direct healthcare cost of obesity-related illness at more than £6.5 billion per year, with the wider cost to the economy — including lost productivity and sickness absence — exceeding £27 billion. Yet the causes are contested. Supporters of a pure free-market view argue that consumers make rational choices about what they eat and that government has no role in regulating diet beyond providing accurate information.

Others point to multiple forms of market failure. Consumers face imperfect information about the long-run health consequences of ultra-processed foods. The rapid growth in the density of fast food outlets (Figure 4) creates consumption externalities, and the marketing of high-fat, high-salt and high-sugar products — particularly to children — raises further concerns about bounded rationality. A 2024 study by the Food Foundation found that the densest clusters of fast-food outlets are in the most deprived local authorities, which also have the highest obesity rates, suggesting the private market is providing the wrong quantity of these goods in the wrong places.

Source: News reports, March 2024

Extract F: Policy responses to obesity

In October 2022 the UK introduced restrictions on the in-store placement of high-fat, salt and sugar (HFSS) products, barring them from prominent positions at store entrances and checkouts. A planned ban on multi-buy promotions of HFSS foods was delayed to 2025. A TV and online advertising watershed for HFSS foods came into force in October 2025. Local authorities have increasingly used planning powers to restrict new fast-food outlets near schools — a policy now adopted by more than 40 English councils.

Supporters argue that such interventions address both information failure and negative externalities in consumption. Critics counter that they are paternalistic, distort consumer choice, and risk government failure through regulatory overreach. A 2024 Institute of Economic Affairs report argued that personal responsibility, rather than further regulation, should be the focus, warning that state action could reduce individual welfare by restricting freedom of choice. In contrast, public health campaigners highlight that low-income consumers often face both time and budget constraints that limit the practical scope of "free" choice, and that well-designed interventions — combining price, information and regulation — have been successful elsewhere.

Source: News reports, January 2025

0 5 Using the data in Extract D (Figure 4), calculate the percentage change in the average weekly spend on takeaways between 2013 and 2023. Give your answer, as a percentage, to one decimal place. **[2 marks]**

0 6 Explain how the data in Extract D (Figure 4) suggest that rising availability of fast food is associated with rising obesity. **[4 marks]**

0 7 Extract E (lines 9–11) states that 'Consumers face imperfect information about the long-run health consequences of ultra-processed foods... [which] creates consumption externalities.'

With the help of a diagram, explain how information failure can lead to the over-consumption of fast food.

0 8 Extract F (lines 8–10) states that 'personal responsibility, rather than further regulation, should be the focus, warning that state action could reduce individual welfare by restricting freedom of choice.'

Use the extracts and your knowledge of economics to evaluate the view that government intervention to reduce the consumption of unhealthy food is justified.

Section B

Answer ONE essay from this section.

Each essay carries 40 marks.

EITHER

Essay 1

In recent years, the UK Competition and Markets Authority has scrutinised mergers and alleged anti-competitive behaviour across a range of industries. Monopoly power is often identified as a source of market failure because it can lead to higher prices and reduced consumer welfare. However, some economists argue that large firms can also generate dynamic efficiency gains that benefit consumers in the long run.

- 0 9** Explain, with the aid of a diagram, how a profit-maximising monopoly determines price and output in the short run. **[15 marks]**
- 1 0** Evaluate the view that the costs of monopoly to consumers always outweigh its benefits, so that competition authorities should intervene whenever a firm gains substantial market power. **[25 marks]**

OR

Essay 2

The UK government spends billions of pounds each year on the provision of goods such as national defence, street lighting and flood defences. It also funds environmental policies intended to reduce the external costs of pollution, which would otherwise arise from private market activity.

- 1 1** Explain why public goods and negative externalities can lead to market failure in a free market. **[15 marks]**
- 1 2** Evaluate the view that government intervention is always necessary to correct market failures arising from public goods and negative externalities. **[25 marks]**

OR

Essay 3

In April 2024 the UK National Living Wage was raised by 9.8% to £11.44 per hour and extended to workers aged 21 and over. Around 2.7 million workers were directly affected. Supporters argue that the minimum wage reduces in-work poverty; critics argue that it reduces employment opportunities, particularly for younger and less experienced workers.

- 1 3** Explain, with the aid of a labour market diagram, how the introduction of a national minimum wage above the free-market equilibrium wage affects a competitive labour market. **[15 marks]**
- 1 4** Evaluate the view that a national minimum wage is the most effective way for the UK government to reduce poverty and income inequality. **[25 marks]**

END OF QUESTIONS